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Response to Request for Information: Development of an Artificial Intelligence (AI) Action Plan

The United States has an unprecedented opportunity to lead the next wave of AI innovation while protecting its \$1.1 trillion creative economy.

As a platform serving 1.25 million creative professionals, Cara has unique insights on how targeted policy actions can strengthen America's competitive advantage in both technology development and creative industries. This response outlines recommendations for:

- Creating sustainable frameworks that promoting American innovation while maintaining leadership in entertainment and creative industries
- Enhancing national security through clear data governance
- Bolstering and developing new markets around rights management and licensing

Introduction

Cara is a social media and portfolio-hosting platform serving over 1.25 million registered users, with primarily professional artists, designers, and creative professionals in the United States. Our platform was created specifically to address the intersection of emerging AI technologies and creative industries, which has provided us with insights into how AI policies can affect the creative sector and broader digital and creator economy.

Our work has been featured in Rolling Stone, Wired, and The Washington Post. Our founder has shared expertise on copyright and responsible AI development at venues including TechCrunch Disrupt and NeurIPS—one of the world's leading conferences in artificial intelligence and machine learning.

Through our daily interactions with professionals across various creative and entertainment industries, we have a unique visibility into both the challenges and opportunities that AI development presents for America's creative sectors.

The Creative Industry is a Valuable US Asset

"The U.S. media and entertainment (M&E) industry is the largest in the world. At \$649 billion, it represents 23 percent of the global M&E industry."

— International Trade Administration, U.S. Department of Commerce

The US creative sector is a significant contributor to the US economy and a source of global influence:

- US M&E industry is the **largest in the world—at \$649 billion**¹
- Video game industry has a **\$101 billion** in annual economic output²
- Copyright industries added **\$2.09 trillion to the U.S. economy** in 2023³
- In 2023, foreign direct investment accounted for **\$35.2 billion in the motion picture and sound recording industry**, and **\$8.9 billion** in the radio & cable broadcasting industry
- Over 11.6 million workers employed across copyright industries
- The creator economy is projected to reach half a trillion dollars by 2027 according to Goldman Sachs

Beyond direct GDP impact, these industries create extensive supply chains that support local economies across America. The entertainment sector drives significant secondary activities through production spending, tourism, and associated services that happen not only in major production cities like Los Angeles and New York, but also benefiting cities and local communities nationwide.

Generative AI & The Entertainment Industry

Research⁴ commissioned by industry organizations including The Animation Guild and Concept Artist Association projects significant workforce changes by 2026 in Hollywood and beyond:

- 203,800 entertainment industry payroll jobs will be impacted
- 21.4% of Film/TV/Animation workforce (118,500 jobs)
- 13.4% of Gaming workforce (52,400 jobs)
- 8.4% of Music/Sound Recording workforce (1,800 jobs)

¹ <https://www.trade.gov/media-entertainment>

² Entertainment Software Association, "2024 Economic Impact Report" <https://www.theesa.com/resources/2024-economic-impact-report/>

³ IIPA, "Copyright Industries in the U.S. Economy: The 2024 Report" <https://www.iipa.org/reports/copyright-industries-us-economy/>

⁴ CVL Economics, "Future Unscripted: The Impact of Generative Artificial Intelligence on Entertainment Industry Jobs", Jan 2024 <https://animationguild.org/wp-content/uploads/2024/01/Future-Unscripted-The-Impact-of-Generative-Artificial-Intelligence-on-Entertainment-Industry-Jobs-pages-1.pdf>

As these figures represent only payroll positions—with freelancers comprising 77% of the creative workforce according to surveys—the total economic impact would likely be substantially larger.

Consider a single major TV commercial production with a typical budget of \$300,000-\$1 million. These productions usually direct:

- **30-40% of budget to local economies**, through food and beverage services, hotel and accommodation businesses, transportation and logistics providers, local vendors, suppliers, equipment rentals, government taxes, and location fees
- **20-30% to agency business** supporting creative development, project creation, client services, and production management
- **20-40% of budget to creative professionals** including: directors, producers, camera operators, lighting technicians, set designers, wardrobe stylists, makeup artists, post production specialists, local assistants, and more

For a single Super Bowl commercial where production budgets often run in the range of \$3-4 million, these projects can easily employ hundreds of workers and support countless local businesses. When these productions are replaced by AI-generated advertisements, the entire economic ecosystem is affected, impacting not just creative workers, but also the local businesses that have historically benefited from production spending due to the existence of such projects.

Copyright-Friendly Development Can Boost a New Creator Economy

America's creative industries represent not just a powerful economic force—contributing \$1.10 trillion, or 4.3% of US GDP—but also hold significant intellectual properties that provide competitive advantages in global markets, drives billions in exports, while enhancing American influence worldwide through a combination of technical innovation and creative excellence.

The creation of new AI development frameworks could catalyze additional markets that strengthen America's position in both technology and creative sectors. So rather than viewing rights management as a constraint, copyright should be recognized and prioritized as an opportunity to create new industries and innovative paths that maintain US leadership while protecting valuable intellectual property.

The need for high-quality training media and data is widely acknowledged, and creates an opportunity for a unique market where multiple parties can benefit through opt-in participation:

1. Artists, musicians, content creators, and individuals can choose to license their work for AI training with fair compensation

2. New platforms can streamline rights clearances and reduce transaction costs for businesses and individuals
3. Technical innovation in detection, attribution, and licensing can advance with clear frameworks and access to legally obtained training data
4. American creatives can develop specialized, high-quality licensing content for specific industry needs
5. US companies can lead in providing premium, licensed creative content for advanced AI applications

These services would create new job opportunities across both creative and technology industries, all the while ensuring that AI development builds on formally licensed, high-quality media.

Cloud computing created entire new business models and categories in the 2000s, likewise in 2025, new frameworks for AI development can incentivize new service providers and businesses to emerge and contribute to growing the US economy.

Security, Safety, and Competitiveness Considerations

Proper procurement of training data and maintenance of deployment and supply chain isn't just about rights protections—it's a matter of national security that affects American interests and citizen privacy. In a rapidly evolving AI landscape, new methods in adversarial attacks and deployments emerge daily. There are a multitude of entry points for creating vulnerabilities in AI models and systems, such as prompt injection hacking that has occurred in various models released by major AI labs and in large-scale consumer integrations. Likewise, data poisoning is a tool sometimes used to impact model accuracy, outputs, and quality.

The rapid developments in AI make the collection of unvetted data increasingly carry a higher risk factor. The constant demand for fresh media and data is a weakness waiting to be exploited, and can potentially introduce new vulnerabilities we have yet to know through the pipelines of data ingestion.

In consideration of precautions against malicious data injections and potential hijacking, AI pipelines should employ content and data obtained with verifiable chain of ownership and licensing. Clean data governance will help prevent:

- Incorporation of adversarial data that could compromise US AI models and systems
- Poisoned data affecting model quality and outputs
- Unauthorized extraction of sensitive information from US organizations
- Unauthorized modifications to AI systems
- Loss of control over AI system behaviors
- Personal identifiable information (PII) leakage and sensitive business data exposure

As the US government and businesses integrate AI into organizations at increasing speeds—many of which connect to critical infrastructure and sensitive information—these protections are all the more vital in the interest of all Americans, because these security risks have every chance of exposing privileged US government and business information to adversarial or foreign parties.

Authenticity and Detection

The rise of AI has posed major challenges in identifying real versus synthetic media. The harm of deepfakes to spread misinformation, damage reputations, and usage for various other malicious activities are widely reported and known. We strongly encourage two key policy actions:

- **Legal requirement for all to disclose media created by generative AI**
- **Investment in research and maintenance for high accuracy, robust AI-detection** tooling and verification technologies

As AI-generated content becomes more prevalent, demand will increase for systems to verify authenticity and provenance across sectors. This presents opportunities for new technologies and services that may include:

- Chain of custody tracking for digital media and copyrighted content
- Detection technologies for identifying unauthorized modifications of media
- Authentication systems for verifying human versus AI creations

These systems would help maintain trust in the digital landscape while creating new businesses where American companies could establish early leadership globally.

Key Policy Recommendations

In summary, we strongly recommend consideration for the following policy actions:

1. Establish clear guidelines and frameworks for data licensing and media usage rights for AI
2. Develop legal requirement for disclosure of AI-generated media
3. Usage of AI training data to be obtained through opt-in channels only
4. Invest in robust AI-detection and human authentication technologies
5. Support the development of new businesses and markets around content creation and rights management for all

Conclusion

At this critical juncture in technological advancement, the United States has a remarkable opportunity to usher in the next phase of AI development while strengthening the value of its creative workforce and industries. Success means balancing multiple interests of high importance to the US economy and national security. Given careful policy and action plans, these goals can be achieved.

We believe it's key to enable technical innovation while not losing sight of the US's current advantages and interests. And that while promoting rapid innovation and development, security should always remain a vital focus of paramount importance.

We believe that while it's possible for AI developments to create new industries—careful considerations must be made on how that road is to be charted, so that the path forward does not forget everyday Americans and those affected by these technologies. A balanced approach should allow new industries to emerge while providing sustainable paths for citizens to adapt and thrive in this evolving economy.

We are available as a resource and happy to provide more information and insights from our industry for this action plan to succeed. Thank you.

Submitted by Cara (www.cara.app)

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